WAVERLEY GATEWAY GUIDE

Connecting International Capital with Emerging & Frontier Markets

SÃO TOMÉ AND PRÍNCIPE

Africa

Information current as of October 2026

Dialogue | Trust | Partnership

office@lordwaverley.com
www.lordwaverley.com

WHERE AND HOW TO ENTER

KEY INVESTMENT LOCATIONS

Location / Region	Strategic Importance	Priority Sectors
São Tomé city	Capital, main seaport and international airport; seat of government, the central bank and most commercial activity	Tourism and hospitality, trade, financial services, construction
Offshore Exclusive Economic Zone (Blocks 7, 8 and 9 and Shell/Petrobras Blocks 10, 11 and 13)	Frontier Gulf of Guinea acreage with confirmed active petroleum systems; a licensing round for Blocks 7–9 launched in May 2026 with contracts targeted by end-2026	Oil and gas exploration, seismic and offshore services
Príncipe Island	Eco-tourism destination and site of a new 4 MWp solar plant with 2 MWh battery storage financed by the African Development Bank	Eco-tourism, renewable energy, conservation-linked investment
Airport and port of São Tomé	Core gateways for tourism and trade; a €329 million three-phase airport modernisation was agreed in 2024 and port upgrades were presented to investors in Brussels in December 2025	Transport infrastructure, logistics, PPP concessions
Cocoa and palm-oil plantation areas	Cocoa and palm oil are the leading exports, with cocoa beans the bulk of merchandise exports	Premium cocoa, agro-processing, agribusiness
Santo Amaro and Papagaio power sites	Solar hybridisation of the Santo Amaro thermal plant and rehabilitation of the Papagaio hydropower plant anchor the energy transition	Solar, hydropower, power-sector services
Nigeria–São Tomé and Príncipe Joint Development Zone	Jointly administered offshore area under a 2001 treaty, with São Tomé and Príncipe entitled to 40% of revenues	Long-term oil and gas exploration

INVESTOR ENTRY ROUTES

- Trade and Investment Promotion Agency (APCI), housed in the Ministry of Planning, Finance and Blue Economy, provides facilitation and co-hosts investor forums with partners such as Afreximbank
- Investment Code and Code of Fiscal Benefits and Incentives (both 2016), with implementing regulations adopted in 2017, set out investor guarantees and tax incentives
- Public-Private Partnership Law (2018) provides the framework for concessions in infrastructure such as the airport, port and power generation

- National Petroleum Agency (ANP-STP) licensing rounds and production-sharing contracts, with the 2026 round for Blocks 7, 8 and 9 reportedly allowing operator stakes of up to 85%
- The dobra has been pegged to the euro since 2010 at about 24.5 dobras per euro, giving euro-based investors stable currency exposure; the Central Bank of São Tomé and Príncipe manages the peg
- Co-investment alongside development finance institutions active in the country, including the African Development Bank, World Bank, European Investment Bank, BADEA and Afreximbank
- National Sustainable Development Strategy (ENDS) 2026–2040, presented to investors in December 2025, sets out priority projects in ports, airports, water, energy and tourism

MARKET-ENTRY OBSERVATION

São Tomé and Príncipe in October 2026 is a small, stable island democracy that has made measurable progress on macroeconomic stabilisation. Under a 52-month IMF Extended Credit Facility, with most third-review targets met, public debt fell from 65.2% of GDP in 2024 to an estimated 54% in 2025, gross reserves rose from $38.9 million to about $60 million (3.7 months of imports), and the country recorded a zero primary fiscal balance in 2024, the first in several decades. Inflation has eased to single digits, at 9.7% year-on-year in São Tomé city in June 2026, from 11.6% at end-2024. Growth remains modest, about 1% in 2025 with the IMF projecting 0.4% in 2026 and around 2.75% over the medium term, but the drivers are clear: tourism reached a record 42,000 visitors in 2025 and is estimated at 11% of GDP, the country graduated from Least Developed Country status in December 2024, and UNCTAD lists it among the leading small-island recipients of infrastructure-related investment projects.

The main structural challenge is energy. Around 95% of the country's 106.3 GWh of annual electricity comes from diesel plants running on imported fuel, at a cost of about $0.34/kWh, and less than half of the 38 MW installed capacity is reliably available. Utility arrears to the fuel importer ENCO, estimated at 18% of GDP in 2025, also weigh on public finances. Mitigation is under way: the utility EMAE has added about 6 MW of new generators, the African Development Bank approved the $30 million ETREEP programme in April 2026 including a 4 MWp solar plant with battery storage, the Papagaio hydropower plant is being rehabilitated, and the IMF programme places energy-sector reform at its centre. With a target of universal electricity access by 2030, some of the highest power costs in sub-Saharan Africa and strong donor backing, the energy transition is the clearest near-term opportunity for investors in solar, hydropower, storage and efficiency.

INVESTOR RISK & MARKET ACCESS

KEY ENTRY BARRIERS

Issue	Potential Impact	Possible Mitigation
Electricity supply and cost	Diesel generation supplies about 95% of power at around $0.34/kWh, with less than half of installed capacity reliably available	Plan for on-site back-up or solar self-generation; the AfDB-funded ETREEP and hydropower rehabilitation create entry points for renewable-energy investors
Government formation after the September 2026 elections	The 27 September vote produced no single-party majority in the 55-seat Assembly, and President Vila Nova, re-elected in July, is expected to appoint a new government once stable parliamentary support is shown	Peaceful elections and an established constitutional process support continuity; time major commitments for after the new government and its economic team are confirmed
Public debt and state-enterprise arrears	Debt is falling but remains high at an estimated 54% of GDP in 2025, and utility arrears to the fuel importer ENCO are substantial	The IMF programme and fiscal consolidation are reducing debt; structure deals with DFI participation and clear payment-security arrangements where state entities are counterparties
Small market and import dependence	A population of about 230,000 and reliance on imported food, fuel and capital goods limit domestic scale	Focus on export-oriented and foreign-exchange-earning activities such as tourism, premium cocoa and fisheries, and use AfCFTA and ECCAS access for regional reach
Pace of oil exploration	Only two offshore wells have been drilled; both confirmed active petroleum systems but no commercial discovery has yet been declared	Exploration is at an early, low-entry-cost stage with majors such as Shell, Galp and Petrobras engaged; the 2026 licensing round offers new acreage

Issue	Potential Impact	Possible Mitigation
Inflation and foreign-exchange reserves	Inflation remains above the central bank's 5% medium-term goal and reserves, while recovering, are modest in absolute terms	The euro peg and tight monetary policy anchor prices; investors earning in euros or dollars face limited currency risk, and should confirm transfer procedures with the central bank
Concession and contract certainty	Some large infrastructure concessions, including the airport modernisation agreement, have been subject to government review and renegotiation	Use the PPP Law framework, independent legal counsel, clear performance terms and international arbitration clauses, ideally alongside DFI co-financiers

INVESTOR RISK NOTE

São Tomé and Príncipe's risk profile is that of a small, peaceful island democracy with a credible reform anchor. The IMF-supported programme has delivered falling public debt, rebuilt reserves and single-digit inflation, and the euro peg provides a stable currency framework for European and international investors. The key operating constraint is the cost and reliability of electricity, which is being tackled through donor-financed solar, hydropower and utility reforms that themselves create investment opportunities. Following peaceful presidential and legislative elections in 2026, a new government is being formed from a closely divided Assembly; investors should allow for a short transition period and confirm the incoming economic team's priorities. Offshore oil remains a long-term option rather than a near-term revenue source, so investment cases are best built on tourism, energy, agribusiness, fisheries and infrastructure. Large concessions should be structured with robust contracts, arbitration clauses and, where possible, development finance partners.

MARKET ACCESS

São Tomé and Príncipe is a member of the Economic Community of Central African States (ECCAS) and the Community of Portuguese Language Countries (CPLP), and ratified the African Continental Free Trade Area (AfCFTA) in June 2019, giving access to a continental market. The country is not yet a WTO member: it holds observer status, with an accession working party established in 2005. Having graduated from Least Developed Country status in December 2024, it is moving through a transition in which some LDC-specific trade preferences and concessional terms will phase out. Exports are concentrated in cocoa, with primary commodities making up 69% of merchandise exports in 2021–2023, and palm oil increasingly important. Portugal is the leading source of tourists, followed by France, Angola, Germany and the United Kingdom, and the country's position in the Gulf of Guinea links it to the Nigerian, Gabonese and Equatorial Guinean energy and trade economies.

WHO SHOULD THE INVESTOR MEET?

INSTITUTIONAL LANDSCAPE

Actor	Why It Matters	Waverley Engagement Angle
Office of the President (Carlos Vila Nova)	Re-elected in July 2026 with 55.9% of the vote; appoints the prime minister and is overseeing government formation after the September elections	Primary reference point for political continuity and the timing of the new government
Office of the Prime Minister (incoming government; Américo Ramos outgoing)	Leads economic policy, the IMF programme and the ENDS 2026–2040 development strategy	Key counterpart once the new government is appointed; priorities to be confirmed
Trade and Investment Promotion Agency (APCI)	National investment promotion body, housed in the Ministry of Planning, Finance and Blue Economy	Standard first point of contact for market entry, incentives and investor forums
Central Bank of São Tomé and Príncipe (BCSTP)	Monetary authority managing the euro peg, reserves and the banking sector, with a medium-term inflation goal of about 5%	Relevant for currency, transfers and banking-sector matters
Ministry of Planning, Finance and Blue Economy	Manages public finances, the IMF programme, fisheries and marine resources, and hosts APCI	Central counterpart for PPPs, fiscal incentives and blue-economy projects
National Petroleum Agency (ANP-STP)	Regulator running offshore licensing	Essential partner for any oil and gas or

Actor	Why It Matters	Waverley Engagement Angle
	rounds and production-sharing contracts	offshore-services engagement
EMAE (national water and electricity utility)	State utility at the centre of energy-sector reform and donor-financed solar and hydropower projects	Key counterpart for power-generation, efficiency and utility-services investment

CURRENT INTERNATIONAL BUSINESS CHANNELS

The Trade and Investment Promotion Agency (APCI) co-hosts investment forums with partners, including the Afreximbank-backed forum in São Tomé and a December 2025 investor forum in Brussels that drew more than 200 participants and interest from BADEA, the World Bank and the European Investment Bank in financing the port, airport and water systems. The African Development Bank, World Bank and IMF maintain active country programmes, and Afreximbank has extended a $12 million credit facility through the central bank. Portugal's trade and investment agency AICEP is a useful source of market intelligence given Portugal's long-standing commercial ties, and international oil companies with offshore interests, including Shell, Galp and Petrobras, provide practical insight into the energy sector. The US Embassy in Libreville covers the country for US investors.

INVESTOR PROFILE BEST SUITED

São Tomé and Príncipe suits investors comfortable with a small but stable market and a long-term horizon: renewable-energy developers and independent power producers, given diesel-dependent generation, very high power costs and strong donor co-financing; eco-tourism and boutique hospitality investors building on record visitor numbers; premium cocoa, agribusiness and fisheries investors; and infrastructure and PPP investors working alongside development finance institutions on the port, airport and utilities. Oil and gas companies seeking frontier Gulf of Guinea acreage at an early stage will find an active licensing agency and established majors already present.

FROM INTELLIGENCE TO ENGAGEMENT

STEP 1: Engage APCI and confirm incentive terms under the Investment Code
Open direct dialogue with the investment promotion agency to clarify sector incentives, guarantees and procedures, and to identify relevant upcoming investor forums.

STEP 2: Time key commitments around the new government
Follow the formation of the new government after the September 2026 elections and confirm the incoming economic team's priorities before finalising major agreements.

STEP 3: Partner with development finance institutions
Approach the African Development Bank, World Bank, European Investment Bank and BADEA early to explore co-financing, risk-sharing and pipeline projects in energy, ports and water.

STEP 4: Prioritise the energy transition
Assess opportunities in solar, storage, hydropower and efficiency linked to the ETREEP programme and EMAE reforms, and build reliable power supply into any operating plan.

STEP 5: Structure contracts for long-term certainty
Use the PPP Law framework, independent local and international counsel, and international arbitration clauses for concessions and state-counterparty agreements.